

upside. So, it has set the stage for a complete sideways move for the rest of the day (high probability).

This condition is called 'Balanced Open' in the [Market Profile](#) methodology.

Hence, a market profile trader expects a complete sideways move within the previous day's range (i.e., between 15750-15900).

Hence, he decides to sell 15900 CE and 15750 PE at 9.20 AM (after 5 minutes of the market open).

At 9.20 AM, Nifty 15900 CE is at Rs.37.75, and Nifty 15750 PE is at Rs.58
So, Net Credit = Rs.37.75 + Rs.58 = Rs.95.75

Maximum Profit

The profit potential is limited to the total premiums received, which is Rs.95.75 (only if held till expiry).

Otherwise, it depends on EOD close if it is an intraday trade and whether the price closes between 15750 and 15900.

Maximum risk

The potential loss is unlimited on the upside because the stock price can go to infinity. But it can be managed by various means, like manually placing a buy order, closing the position, etc.

On the downside, the potential loss is marginal because the stock price can fall only to zero.

Breakeven stock price at expiration

There are two potential breakeven points:

1. Higher strike price plus total premium: In this example: $15900 + 95.75 = 15995.75$